increasingly used to separate those managers deemed gifted from those who are mediocre.

The fixation on short-term price performance, while acutely obvious in mutual funds, is not limited to them; it dominates thinking throughout the investment industry. We are no longer in an environment where managers are measured over the long term. Even people who function as their own manager are infected by the unhealthy nuances of this environment. In many ways, we have become enslaved to a marketing machine that all but guarantees underperformance.

Caught in a vicious circle, there appears to be no way out. But of course, as we have learned, there is a way to improve investment performance. What we must do now is find a better way to measure performance. The cruel irony is that the strategy most likely to provide above-average returns over time appears to be incompatible with how we judge performance.

In 1986, V. Eugene Shahan, a Columbia University Business School alumnus and portfolio manager at U.S. Trust, wrote a follow-up article to Buffett's "The Superinvestors of Graham-and-Doddsville." In his piece, titled "Are Short-Term Performance and Value Investing Mutually Exclusive?," Shahan took on the same question that we are now asking: How appropriate is it to measure a money manager's skill on the basis of short-term performance?

He noted that, with the exception of Buffett himself, many of the people Buffett described as "Superinvestors"—undeniably skilled, undeniably successful—faced periods of short-term underperformance. In a money-management version of the tortoise and the hare, Shahan commented: "It may be another of life's ironies that investors principally concerned with short-term performance may very well achieve it, but at the expense of long-term results. The outstanding records of Superinvestors of Graham-and-Doddsville were compiled with the apparent indifference to short-term performance."[44] In today's mutual fund performance derby, Shahan explains, the Superinvestors of Graham-and-Doddsville would have been overlooked. The same is also true of the Superinvestors of Buffettville.

John Maynard Keynes, who managed the Chest Fund for 18 years, underperformed the market one-third of the time. Indeed, he